at *Columbia University School of Business* that estimated 200 of the 600 industrial companies—fully one in three—then listed on the New York Stock Exchange sold for less than their net current assets. More than 50 sold for less than their cash and marketable securities, and dozens more sold for less than the cash they held at the bank. Graham noted that this implied that in the "best judgment of Wall Street," those businesses were "*worth more dead than alive*" (emphasis Graham's).[4] One reason for the indiscriminate selling, Graham suggested, was that investors weren't paying attention to the companies' assets—not even their cash holdings. Value was associated only with earning power, and "reported earnings—which might only be temporary or even deceptive."[5] He wondered whether investors selling such deeply undervalued stocks were aware that they were disposing of their interest at "far less than its scrap value." He concluded that many investors who might have realized this could have justified the too-low sales price on the basis that the company had no intention of liquidating. Why discuss liquidation values if a company won't liquidate? The answer, according to Graham, was that, while stockholders do not have it in their power to make a business profitable, they do have the power to liquidate it. "At bottom, he wrote, "it is not a theoretical question at all; the issue is both very practical and very pressing."[6] "Is it true," he asked, "that one out of three American businesses is destined to continue losing money until the stockholders have no equity remaining?"[7]

> *Liquidation after insolvency is, of course, more frequent, but the idea of shutting up shop before the sheriff steps in seems repugnant to the canons of Wall Street.*

More than just forgetting to look at balance sheets, wrote Graham, stockholders seemed to have forgotten also that they were "*owners of a business* and not merely owners of a quotation on the stock ticker." It was high time that the millions of American shareholders asked whether their money "should be tied up unproductively in excessive cash balances while they themselves are in dire need of funds." "These are not management problems," wrote Graham, "these are *ownership problems*," and the solution was to become "ownership conscious."[8]

Graham believed it to be fundamentally illogical for a company to continuously trade at a discount to liquidation value. It was a signal from the market that either the price was too low or the company should be wound up. In either case, the stock was too cheap, and therefore offered an attractive area for security analysis and, potentially, an attractive purchase opportunity. He likened such stocks to gold dollars with strings attached:[9]

> *If gold dollars without any strings attached could actually be purchased for 50 cents, plenty of publicity and plenty of buying power*